Therefore, the Commission proposed to exercise its authority under section 36(a)(1) of the SEA[666] to exempt an SBSEF from the definition of "exchange"—and thus the obligation to register as a national securities exchange—if it provides a market place solely for the trading of SBS (and no securities other than SBS) and has registered with the Commission as an SBSEF. To effect this exemption, the Commission proposed to amend Rule 3a1-1 under the SEA[667] by adding new paragraph (a)(4).

The proposed amendment would add new paragraph (a)(4) to existing Rule 3a1-1 to provide that an organization, association, or group of persons that has registered with the Commission as an SBSEF pursuant to Rule 803 and provides a market place for no securities other than SBS is exempt from the definition of "exchange" under section 3(a)(1) of the SEA, and thus would not be subject to the requirement in section 5 of the SEA to register as a national securities exchange or obtain a low-volume exemption.[668]

In addition, the Commission proposed new paragraph (a)(5) to existing Rule 3a1-1 under the SEA, which would provide that an organization, association, or group of persons shall be exempt from the definition of the term "exchange" if that organization, association, or group of persons has registered with the Commission as a clearing agency pursuant to section 17A of the SEA and limits its exchange functions to operation of a trading session that is designed to further

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666 15 U.S.C. 78mm(a)(1).

667 17 CFR 240.3a1-1.

668 An SBSEF that fails to comply with the condition to the exemption provided under paragraph (a)(4) of Rule 3a1-1 would no longer qualify for the exemption and might thus be operating as an unregistered exchange under the section 5 of the SEA. 15 U.S.C. 78e. Section 5 also generally provides that a broker or dealer may not use any facility of an exchange to effect or report any transaction in a security unless that exchange is registered as a national securities exchange or is exempt from registration by reason of the limited volume of transactions effected on the exchange. Brokers and dealers who are members of a registered SBSEF would not be in violation of section 5 by effecting or reporting any SBS transactions on that SBSEF, because an SBSEF that qualifies for the exemption under Rule 3a1-1(a)(4) would not be an exchange within the meaning of section 5.

the accuracy of end-of-day valuations.[669] As noted above, this provision would codify a series of exemptions that the Commission has granted over several years to SBS clearing agencies that operate "forced trading" sessions.[670] As part of the clearing and risk management processes, an SBS clearing agency must establish an end-of-day valuation for any SBS in which any of its members has a cleared position. Certain SBS clearing agencies utilize a valuation mechanism whereby they require clearing members to submit indicative settlement prices for SBS products, and, to provide an incentive for accurate submissions, the clearing agency can require those members to trade at those quoted prices. The precise means by which the clearing agency matches quotes from different clearing members could cause the clearing agency to fall within the definition of "exchange" in section 3(a)(1) of the SEA. The Commission has previously found that it was necessary or appropriate in the public interest and consistent with the protection of investors to exempt clearing agencies that engage in this activity from the definition of "exchange,"[671] and the Commission proposed to codify this exemption.[672]

Finally, the Commission proposed to amend the introductory language of paragraph (b) of Rule 3a1-1 to cover only paragraphs (a)(1) through (a)(3), not paragraph (a) as a whole.[673] The changed language is designed to clarify that the revocation provisions would not apply to

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669 As discussed above, *see supra* note 37 and accompanying text, such a trading session is also referred to as a "forced-trading session."

670 *See supra* note 37; Proposing Release, *supra* note 1, 87 FR at 28878.

671 *See id.*

672 *See* Proposing Release, *supra* note 1, 87 FR at 28878. This exemption would cover only the forced-trading session of an SBS clearing agency; any other exchange activity that a clearing agency might engage in could remain subject to the SEA provisions and the Commission's rules thereunder applying to national securities exchanges or alternative trading systems.

673 Specifically, the Commission proposed to amend the introductory language of existing paragraph (b) of Rule 3a1-1, which states: "Notwithstanding paragraph (a) of this rule, an organization, association, or group of persons shall not be exempt under this rule from the definition of 'exchange' if …." Paragraph (b) then sets out procedural and substantive criteria for the Commission to revoke an exemption under paragraph (a) of Rule 3a1-1 if an exchange's share of the market in any one of the specified classes of securities exceeds a defined threshold.

organizations, associations, or groups of persons who fall within amended Rule 3a1-1(a)(4) or (a)(5). Thus, even if a registered SBSEF were to become a substantial market, Rule 3a1-1(b), as proposed to be amended, would not afford a basis for the Commission to revoke an SBSEF's exemption from the definition of "exchange" under Rule 3a1-1(a)(4), which would force the SBSEF to register as a national securities exchange (to avoid being an unregistered exchange).

The Commission received two comment letters regarding the proposed amendments to Rule 3a1-1.[674] One commenter does not support an exemption for clearing agencies from the definition of exchange, stating that the exemption would create a loophole.[675] However, the limited scope of the exemption—which applies solely to trades that a clearing agency requires its members to undertake in support of the accuracy of the clearing agency's end-of-day valuation process—is sufficiently narrow to prevent use of the exemption as a loophole allowing clearing agencies to act as, or on behalf of exchanges, without sufficient public reporting. The language of new paragraph (a)(5) of Rule 3a1-1, however, should more precisely reflect that the Commission is codifying exemptive relief that was provided with respect to trading sessions to support end-of-day valuations of SBS,[676] and the Commission is therefore modifying paragraph (a)(5) to add the words "of security-based swaps" at the end of the paragraph.

Another commenter supports the proposed amendments and also addresses another Commission rulemaking related to the definition of "exchange."[677] The Commission has

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674 *See* Keeney Letter, *supra* note 95; ISDA-SIFMA Letter, *supra* note 18, at 17.

675 *See* Keeney Letter, *supra* note 95 (stating that the exemption would permit clearing agencies to "do the bidding of exchanges" while being exempt from reporting requirements).

676 *See* Proposing Release, *supra* note 1, 87 FR at 28932 ("This exemption would cover only the forced-trading session of an SBS clearing agency; any other exchange activity that a clearing agency might engage in could remain subject to the SEA provisions and the Commission's rules thereunder applying to exchanges.").

677 *See* ISDA-SIFMA Letter, *supra* note 18, at 17.

separately proposed certain amendments to Rule 3b-16, a rule which defines certain terms used in the statutory definition of "exchange" under section 3(a)(1) of the SEA.[678] The commenter states that the Commission should exempt from the definition of "exchange" any market place that solely trades SBS, whether or not that market place is registered as an SBSEF.[679] This commenter states that the Commission has "proposed to expand Rule 3b-16 substantially" and that this proposal, if adopted, would "reverse the previous relationship between the 'exchange' definition (as interpreted in Rule 3b-16) and the SBSEF definition."[680] This commenter states that an organization that makes available certain methods for parties to interact regarding SBS might fall within the expanded definition of exchange but outside the definition of SBSEF and therefore be required to register as an exchange because SBSEF registration would be unavailable.[681]

The Commission does not agree with the commenter's request to extend the Rule 3a1-1 exemption from the "exchange" definition to any entity that provides a market place for no securities other than SBS, regardless of whether they are registered as an SBSEF.

The purpose of the exemption under Rule 3a1-1(a)(4) is not to universally exempt from the definition of "exchange" all entities that provide a market place for no securities other than

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678 *See* Amendments Regarding the Definition of "Exchange" and Alternative Trading Systems (ATSs) That Trade U.S. Treasury and Agency Securities, National Market System (NMS) Stocks, and Other Securities, SEA Release No. 94062 (Jan. 26, 2022), 87 FR 15496 (Mar. 18, 2022) (File No. S7-02-22) ("Rule 3b-16 Proposal"). *See also* Reopening of Comment Periods for "Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews" and "Amendments Regarding the Definition of 'Exchange' and Alternative Trading Systems (ATSs) That Trade U.S. Treasury and Agency Securities, National Market System (NMS) Stocks, and Other Securities," SEA Release No. 94868 (May 9, 2022), 87 FR 29059 (May 12, 2022) (S7-02-22); Supplemental Information and Reopening of Comment Period for Amendments Regarding the Definition of "Exchange," SEA Release No. 97309 (Apr. 14, 2023), 88 FR 29448 (May 5, 2023) (File No. S7-02-22).

679 *See* ISDA-SIFMA Letter, *supra* note 18, at 17.

680 *Id.*

681 *See id.*

SBS. Rather, given that Congress has provided a regulatory framework for SBSEFs through the Dodd Frank Act, the exemption is narrowly designed to avoid burdening registered SBSEFs with a second regulatory framework—namely, registration as national securities exchanges. Further, creating that commenter's suggested exemption in Rule 3a1-1(a) would create a regulatory gap in which some entities that meet the definition of exchange are registered neither as national securities exchanges nor as SBSEFs. The language of new paragraph (a)(4) of Rule 3a1-1, however, should more closely track the language and scope of section 3(a)(1) of the SEA, which uses the term "market place or facilities," rather than the term "market place,"[682] and the Commission is therefore modifying proposed paragraph (a)(4) of Rule 3a1-1 to replace the term "market place" with the term "market place or facilities."

Accordingly, for the reasons discussed above, the Commission is adopting the amendments to Rule 3a1-1 with the modifications to paragraphs (a)(4) and (a)(5) discussed above and with minor technical modifications.[683]

XI. RULE 15a-12—SBSEFS AS REGISTERED BROKERS; RELIEF FROM CERTAIN BROKER REQUIREMENTS

An SBSEF, by facilitating the execution of SBS between persons, also is engaged in the business of effecting transactions in securities for the account of others and therefore meets the SEA definition of "broker."[684] Absent an exception or exemption, an SBSEF—in addition to being subject to the registration and regulatory requirements for SBSEFs—would also be required to register with the Commission as a broker pursuant to sections 15(a) and 15(b) of the

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682 *See* 15 U.S.C. 78c(a)(1).

683 *See supra* note 32.

684 *See* SEA section 3(a)(4), 15 U.S.C. 78c(a)(4).

SEA[685] and would be subject to all regulatory requirements applicable to brokers.[686] For example, brokers and dealers must comply with a number of rules that govern their conduct, including those relating to customer confirmations and disclosure of credit terms in margin transactions.[687]

The Commission proposed new Rule 15a-12 under the SEA, which would deem registration with the Commission as an SBSEF to also constitute registration as a broker, and which would exempt a registered SBSEF from many broker requirements in light of the SBSEF regulatory regime to which it would also be subject. The accommodation provided in Rule 15a-12, however, would not be available to an SBSEF that engages in other types of brokerage activity.

Paragraph (a) of Proposed Rule 15a-12 would define the term "SBSEF-B" to mean an SBSEF that does not engage in any securities activity other than facilitating the trading of SBS on or through the SBSEF. Thus, an SBSEF that acts as agent to SBS counterparties or that acts in a discretionary manner with respect to the execution of SBS transactions, could not avail itself of Rule 15a-12. Also, if an inter-dealer broker elects not to separate its inter-dealer broker functions from its SBSEF (by, for example, housing them in separate legal entities), and instead chooses to operate the SBSEF in the same legal entity as the inter-dealer broker, the entity could avail itself of Rule 15a-12 because it would not be an SBSEF-B under the rule.

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685 15 U.S.C. 78*o*(a) and 78*o*(b). Section 15(a)(1) generally provides that, absent an exception or exemption, a broker or dealer that uses the mails or any means of interstate commerce to effect transactions in, or to induce or attempt to induce the purchase or sale of, any security must register with the Commission. Section 15(b) generally provides the manner of registration of brokers and dealers and other requirements applicable to registered brokers and dealers.

686 As discussed in note 47, *supra*, a person that is acting as a broker solely because it is acting as an SBSEF is currently exempt from the requirement to register with the Commission as a broker and the Commission's rules under the SEA that apply to brokers. This exemption will expire upon the earliest compliance date for the Commission's final rules regarding SBSEF registration.

687 *See* 17 CFR 240.10b-10 and 240.10b-16.

Paragraph (b) of Proposed Rule 15a-12 would provide that an SBSEF-B, if it registered as an SBSEF pursuant to Rule 803, would be deemed also to have registered with the Commission pursuant to sections 15(a) and (b) of the SEA.[688]

Paragraphs (c) and (d) of Proposed Rule 15a-12 would set out the scope of broker requirements from which an SBSEF-B is exempt and which broker requirements would continue to apply. Paragraph (c) would provide that an SBSEF-B would be exempt from any provision of the SEA or the Commission's rules thereunder applicable to brokers that by its terms requires, prohibits, restricts, limits, conditions, or affects the activities of a broker, unless such provision specifies that it applies to an SBSEF. Paragraph (d) of Proposed Rule 15a-12 would provide that, notwithstanding paragraph (c), an SBSEF-B is still subject to section 15(b)(4),[689] section 15(b)(6),[690] and section 17(b) of the SEA.[691]

Finally, paragraph (e) of Proposed Rule 15a-12 would exempt an SBSEF-B from the Securities Investor Protection Act ("SIPA").[692] SIPA established the Securities Investor Protection Corporation ("SIPC"), which oversees the liquidation of member firms that close

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688 The Commission's proposal would not have exempted SBSEFs from registration as brokers. Rather, given the registration and regulatory requirements that were being proposed for SBSEFs through Regulation SE, the Commission proposed for such SBSEFs to be deemed registered as brokers so as to prevent subjecting those entities to a second, separate registration process as well as duplicative additional regulatory requirements. As discussed in the Proposing Release, an additional layer of registration processes and duplicative requirements would not be appropriate or necessary. *See* Proposing Release, *supra* note 1, 87 FR 28933.

689 15 U.S.C. 78*o*(b)(4).

690 15 U.S.C. 78*o*(b)(6).

691 15 U.S.C. 78q(b).

692 15 U.S.C. 78aaa, *et seq*.

when a member firm is bankrupt or in financial trouble and customer assets are missing.[693] SIPC protection is funded by assessments made on member firms.[694]

Section 2 of SIPA[695] states that, unless otherwise provided, the SEA shall apply as if SIPA constituted an amendment to, and was included as a section of, the SEA. An SBSEF-B, by definition, would operate only as an SBSEF. It would not be equitable to require an SBSEF-B to become a member of SIPC and pay SIPC assessments, because the SBSEF-B would not have brokerage customers and would not hold any customer funds or securities. Accordingly, under section 36(a)(1) of the SEA,[696] the Commission finds that it is necessary or appropriate in the public interest, and is consistent with the protection of investors, to exempt SBSEF-Bs from any requirement under SIPA, including the requirement to pay assessments to the SIPC insurance fund. The Commission is codifying this exemption as Rule 15a-12(e).

The Commission received no comments on Proposed Rule 15a-12 and is adopting Rule 15a-12 as proposed, with minor technical modifications,[697] for the reasons stated in the Proposing Release.

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693 *See* https://www.sipc.org/about-sipc/sipc-mission ("In a liquidation under the Securities Investor Protection Act, SIPC and the court-appointed Trustee work to return customers' securities and cash as quickly as possible. Within limits, SIPC expedites the return of missing customer property by protecting each customer up to $500,000 for securities and cash (including a $250,000 limit for cash only).").

694 *See* 15 U.S.C. 78ddd(d).

695 15 U.S.C. 78bbb.

696 15 U.S.C. 78mm(a)(1) (giving the Commission exemptive authority, including the ability to exempt any person or classes of persons from any provision of the SEA or any rules thereunder, to the extent that such exemption is necessary or appropriate in the public interest, and is consistent with the protection of investors).

697 *See supra* note 32.

XII. TERMINATION OF TEMPORARY EXEMPTIONS

As discussed above and in the Proposing Release, after issuing the 2011 SBSEF Proposal,[698] the Commission granted the Temporary SBSEF Exemptions.[699] In relevant part, Temporary SBSEF Exemptions have:

(1) Allowed an entity that trades SBS and is not currently registered as a national securities exchange, or that cannot yet register as an SBSEF because final rules for such registration have not yet been adopted, to continue trading SBS during this temporary period without registering as a national securities exchange or SBSEF[700];

(2) Exempted national securities exchanges (to the extent that they also operate an SBSEF and use the same electronic trade execution system for listing and executing trades of SBS on or through the exchange and the facility) from the requirement to identify whether electronic trading of those SBS is taking place on or through the national securities exchange or the SBSEF[701];

(3) Exempted any person, other than a clearing agency acting as a central counterparty in security-based swaps, that, solely due to its activities relating to security-based swaps, would fall within the definition of exchange and thus be required to register as an exchange from the requirement to register as a national securities exchange in sections 5 and 6 of the Exchange Act[702];

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698 *See supra* note 6.

699 *See supra* notes 45–47 and accompanying text.

700 *See* June 2011 Exemptive Order, *supra* note 46, 76 FR at 36293 (granting temporary exemptive relief from SEA section 3D(a)(1), 15 U.S.C. 78c-4(a)(1)).

701 *See id.* at 36293 (granting temporary exemptive relief from SEA section 3D, 15 U.S.C. 78c-4).

702 *See* July 2011 Exemptive Order, *supra* note 46, 76 FR at 39934.

(4) Permitted brokers and dealers to effect transactions in SBS on an exchange that is operating without registering as a national securities exchange in reliance on the exemption described above[703];

(5) Exempted SBSEFs from the broker registration requirements of section 15(a)(1) of the SEA[704]; and

(6) Exempted any SBS contract entered into on or after July 16, 2011, from being void or considered voidable by reason of section 29 of the SEA[705] because any person that is a party to the SBS contract violated a provision of the Exchange Act that was amended or added by subtitle B of Title VII of the Dodd Frank Act and for which the Commission has taken the view that compliance will be triggered by registration of a person or by adoption of final rules by the Commission, or for which the Commission has provided an exception or exemptive relief herein, until such date as the Commission specifies.[706]

In the Temporary SBSEF Exemptions, the Commission specified that the exemptive relief would expire "on the earliest compliance date set forth in any of the final rules regarding registration of SBSEFs,"[707] or in the case of the relief regarding section 29 of the SEA, "until such date as the Commission specifies."[708]

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703 *See id.*

704 *See id.*; *see also* Requirements for Security-Based Swap Dealers, Major Security-Based Swap Participants, and Broker-Dealers; Capital Rule for Certain Security-Based Swap Dealers, SEA Release No. 87005 (Sept. 19, 2019), 84 FR 68550, 68602 (Dec. 16, 2019) ("Recordkeeping and Reporting Adopting Release").

705 15 U.S.C. 78cc(b).

706 *See* June 2011 Exemptive Order, *supra* note 46, 76 FR at 36305–06.

707 *See id.* at 36293; July 2011 Exemptive Order, *supra* note 46, 76 FR at 39934.

708 *See* June 2011 Exemptive Order, *supra* note 46, 76 FR at 36306.